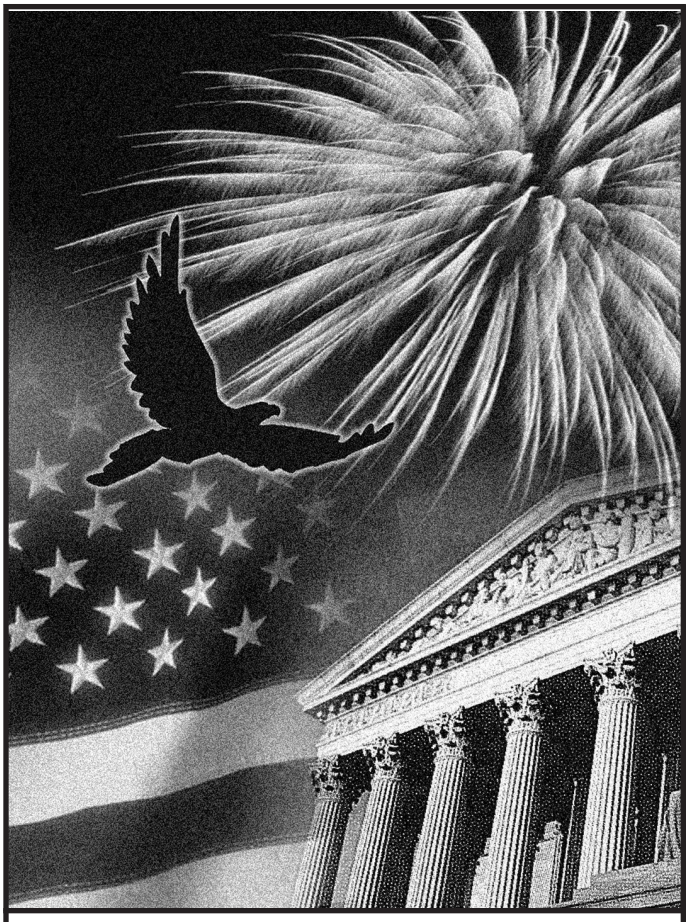
Department of the Treasury
Internal Revenue Service

Publication 926
Cat. No. 64286A

Household Employer's Tax Guide

For use in **2015**



Get forms and other information faster and easier at:
- IRS.gov (English)
- IRS.gov/Spanish (Español)
- IRS.gov/Chinese ( )
- IRS.gov/Korean (한국어)
- IRS.gov/Russian (Русский)
- IRS.gov/Vietnamese (TiếngViệt)

Dec 02, 2014

Contents

What's New . . . 1
Reminder . . . 2
Introduction . . . 2
Do You Have a Household Employee? . . . 2
Can Your Employee Legally Work in the United States? . . . 3
Do You Need To Pay Employment Taxes? . . . 3
Social Security and Medicare Taxes . . . 5
Federal Unemployment (FUTA) Tax . . . 6
Do You Need To Withhold Federal Income Tax? . . . 8
What Do You Need To Know About the Earned Income Credit? . . . 9
How Do You Make Tax Payments? . . . 9
What Forms Must You File? . . . 10
What Records Must You Keep? . . . 11
Can You Claim a Credit for Child and Dependent Care Expenses? . . . 12
How Can You Correct Schedule H? . . . 12
How To Get Tax Help . . . 13
Index . . . 17

Future Developments

For the latest information about developments related to Publication 926, such as legislation enacted after it was published, go to www.irs.gov/pub926.

What's New

Social security and Medicare tax for 2015. The social security tax rate is 6.2% each for the employee and employer, unchanged from 2014. The social security wage base limit is $118,500.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2014. There is no wage base limit for Medicare tax. Social security and Medicare taxes apply to the wages of household employees you pay $1,900 or more in cash or an equivalent form of compensation.

Qualified parking exclusion and commuter transportation benefit. For 2015, the monthly exclusion for qualified parking is $250 and the monthly exclusion for commuter highway vehicle transportation and transit passes is $130.

Medicaid waiver payments. Notice 2014-7 provides that certain Medicaid waiver payments are excludable

agencies.asp. You should also determine if you need to pay or collect other state employment taxes or carry workers' compensation insurance.

Table 1. **Do You Need To Pay Employment Taxes?**

IF you ...		THEN you need to ...
A–	Pay cash wages of $1,900 or more in 2015 to any one household employee. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, • Your parent (see *Wages not counted*, later, for an exception), or • Any employee under the age of 18 at any time in 2015 (see *Wages not counted*, later, for an exception).	Withhold and pay social security and Medicare taxes. • The taxes are 15.3%[1] of cash wages. • Your employee's share is 7.65%[1]. (You can choose to pay it yourself and not withhold it.) • Your share is 7.65%.
B–	Pay total cash wages of $1,000 or more in any calendar quarter of 2014 or 2015 to household employees. Do not count wages you pay to— • Your spouse, • Your child under the age of 21, or • Your parent.	Pay federal unemployment tax. • The tax is 6% of cash wages. • Wages over $7,000 a year per employee are not taxed. • You also may owe state unemployment tax.
[1]In addition to withholding Medicare tax at 1.45%, you must withhold a 0.9% Additional Medicare Tax from wages you pay to an employee in excess of $200,000 in a calendar year. You are required to begin withholding Additional Medicare Tax in the pay period in which you pay wages in excess of $200,000 to an employee and continue to withhold it each pay period until the end of the calendar year. Additional Medicare Tax is only imposed on the employee. There is no employer share of Additional Medicare Tax. All wages that are subject to Medicare tax are subject to Additional Medicare Tax withholding if paid in excess of the $200,000 withholding threshold.		
Note. If neither A nor B above applies, you do not need to pay any federal employment taxes. But you may still need to pay state employment taxes.		

Table 2. **Household Employer's Checklist**

You may need to do the following things when you have a household employee.

When you hire a household employee:	☐ Find out if the person can legally work in the United States. ☐ Find out if you need to pay state taxes.
When you pay your household employee:	☐ Withhold social security and Medicare taxes. ☐ Withhold federal income tax. ☐ Decide how you will make tax payments. ☐ Keep records.
By February 1, 2016:	☐ Get an employer identification number (EIN). ☐ Give your employee Copies B, C, and 2 of Form W-2, Wage and Tax Statement.
By February 29, 2016 (March 31, 2016, if you file Form W-2 electronically):	☐ Send Copy A of Form W-2 to the Social Security Administration (SSA).
By April 18, 2016:	☐ File Schedule H (Form 1040), Household Employment Taxes, with your 2015 federal income tax return (Form 1040, 1040NR, 1040-SS, or Form 1041). If you do not have to file a return, file Schedule H by itself.